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of *any* state law⁵ would lead to absurd results that the provision cannot have been meant to produce. Under the established rule that a later adopted provision takes precedence over an earlier, conflicting provision of equal stature, see, e. g., *United States v. Tynen*, 11 Wall. 88, 92 (1871); *Posadas v. National City Bank*, 296 U. S. 497, 503 (1936); A. Scalia & B. Garner, *Reading Law* 327–328 (2012); 1A N. Singer & J. Singer, *Sutherland on Statutory Construction* §23:9 (7th ed. 2009), such a reading of §2 would mean that the provision would trump any irreconcilable provision of the original Constitution, the Bill of Rights, the Fourteenth Amendment, and every other constitutional provision predating ratification of the Twenty-first Amendment in 1933. This would mean, among other things, that a state law prohibiting the importation of alcohol for sale to persons of a particular race, religion, or sex would be immunized from challenge under the Equal Protection Clause. Similarly, if a state law prohibited the importation of alcohol for sale by proprietors who had expressed an unpopular point of view on an important public issue, the First Amendment would provide no protection. If a State imposed a duty on the importation of foreign wine or spirits, the Import-Export Clause would have to give way. If a state law retroactively made it a crime to have bought or sold imported alcohol under specified conditions, the *Ex Post Facto* Clause would provide no barrier to conviction. The list goes on.

Despite the ostensibly broad text of §2, no one now contends that the provision must be interpreted in this way. Instead, we have held that §2 must be viewed as one part

⁵ As we will explain, §2 followed the wording of the 1913 Webb-Kenyon Act, ch. 90, 37 Stat. 699, see *Craig v. Boren*, 429 U. S. 190, 205–206 (1976), and, given this Court’s case law at the time, it went without saying that the only state laws that Congress could protect from constitutional challenge were those that represented the valid exercise of the police power, which was not understood to authorize purely protectionist measures with no bona fide relation to public health or safety. See *infra*, at 521–522, 525–526.

of a unified constitutional scheme. See *California Retail Liquor Dealers Assn. v. Midcal Aluminum, Inc.*, 445 U.S. 97, 109 (1980); *Hostetter v. Idlewild Bon Voyage Liquor Corp.*, 377 U.S. 324, 331–332 (1964); cf. Scalia & Garner, *supra*, at 167–169, 180–182. In attempting to understand how §2 and other constitutional provisions work together, we have looked to history for guidance, and history has taught us that the thrust of §2 is to “constitutionaliz[e]” the basic structure of federal-state alcohol regulatory authority that prevailed prior to the adoption of the Eighteenth Amendment. *Craig v. Boren*, 429 U.S. 190, 206 (1976). We therefore examine that history.

B

Throughout the 19th century, social problems attributed to alcohol use prompted waves of state regulation, and these measures were often challenged as violations of various provisions of the Federal Constitution.

One wave of state regulation occurred during the first half of the century. The country’s early years were a time of notoriously hard drinking, see D. Okrent, *Last Call: The Rise and Fall of Prohibition* 7 (2010),⁶ and the problems that this engendered prompted States to enact a variety of regulations, including licensing requirements, age restrictions, and Sunday-closing laws. See Byse, *Alcoholic Beverage Control Before Repeal*, 7 *Law & Contemp. Prob.* 544, 546–551 (1940).

Three States’ alcohol licensing laws came before this Court in 1847 in the *License Cases*, 5 How. 504. The principal claim in those cases was similar to the one now before us; licensing laws enacted in three States were challenged under the Commerce Clause. The Court unanimously rejected those claims, but six Justices authored opinions; no opinion

⁶ Between 1780 and 1830, Americans consumed “more alcohol, on an individual basis, than at any other time in the history of the nation,” with per capita consumption double that of the modern era. R. Mendelson, *From Demon to Darling: A Legal History of Wine in America* 11 (2009).

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commanded a majority; and the general status of dormant Commerce Clause claims was left uncertain. See 5 C. Swisher, *The Taney Period, 1836–64, History of the Supreme Court of the United States* 373–374 (1974).

Following the Civil War, the Court considered a steady stream of alcohol-regulation cases. The postwar period saw a great proliferation of saloons,⁷ and myriad social problems were attributed to this development. In response, many States passed laws restricting the sale of alcohol. By 1891, six States had banned alcohol production and sale completely. R. Hamm, *Shaping the Eighteenth Amendment* 25 (1995) (Hamm).

During this period, state laws regulating the alcohol trade were unsuccessfully challenged in this Court on a variety of constitutional grounds. See, e.g., *Mugler v. Kansas*, 123 U. S. 623 (1887) (Privileges or Immunities and Due Process Clauses of Fourteenth Amendment); *Beer Co. v. Massachusetts*, 97 U. S. 25 (1878) (Contracts Clause); *Bartemeyer v. Iowa*, 18 Wall. 129 (1874) (Privileges or Immunities and Due Process Clauses of Fourteenth Amendment). In those decisions, the Court staunchly affirmed the “right of the States,” in exercising their “police power,” to “protect the health, morals, and safety of their people,” but the Court also cautioned that this objective could be pursued only “by regulations that do not interfere with the execution of the powers

⁷By 1872, about 100,000 had sprung up across the country, and by the end of the century, that number had climbed to almost 300,000. *Id.*, at 31. This increase has been linked to the introduction of the English “tied-house” system. Under the tied-house system, an alcohol producer, usually a brewer, would set up saloonkeepers, providing them with premises and equipment, and the saloonkeepers, in exchange, agreed to sell only that producer’s products and to meet set sales requirements. *Ibid.*; T. Pegram, *Battling Demon Rum: The Struggle for a Dry America, 1800–1933*, p. 95 (1998). To meet those requirements, saloonkeepers often encouraged irresponsible drinking. *Id.*, at 97. The three-tiered distribution model was adopted by States at least in large part to preclude this system. See *Arnold’s Wines, Inc. v. Boyle*, 571 F. 3d 185, 187 (CA2 2009).

of the general government, or violate rights secured by the Constitution of the United States.” *Mugler*, 123 U. S., at 659. For that reason, the Court continued, “mere preferences” could not sustain a law regulating alcohol; rather, if “a statute purporting to have been enacted to protect the public health, the public morals, or the public safety, has no real or substantial relation to those objects, or is a palpable invasion of rights secured by the fundamental law, it is the duty of the courts to so adjudge, and thereby give effect to the Constitution.” *Id.*, at 661.

Dormant Commerce Clause challenges also reached the Court. States that banned the production and sale of alcohol within their borders found that these laws did not stop residents from consuming alcohol shipped in from other States. To curb that traffic, States passed laws regulating or prohibiting the importation of alcohol, and these enactments were quickly challenged.

By the late 19th century, the Court was firmly of the view that the Commerce Clause by its own force restricts state regulation of interstate commerce. See *Bowman v. Chicago & Northwestern R. Co.*, 125 U. S. 465 (1888); *Leisy v. Hardin*, 135 U. S. 100 (1890). Dormant Commerce Clause cases from that era “advanced two distinct principles,” an understanding of which is critical to gauging the States’ pre-Prohibition power to regulate alcohol. *Granholm*, 544 U. S., at 476.

First, the Court held that the Commerce Clause prevented States from discriminating “against the citizens and products of other States,” *Walling v. Michigan*, 116 U. S. 446, 460 (1886). See also *Scott v. Donald*, 165 U. S. 58 (1897); *Tiernan v. Rinker*, 102 U. S. 123 (1880). Applying that rule, the *Walling* Court struck down a discriminatory state fee that applied only to those in the business of selling imported alcohol. 116 U. S., at 454, 458. Similarly, in *Scott*, the Court invalidated a law that gave an “unjust preference [to] the

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products of the enacting State as against similar products of the other States.” 165 U. S., at 101. The Court did not question the States’ use of the police power to regulate the alcohol trade but stressed that such regulation must have a “*bona fide*” relation to protecting “the public health, the public morals or the public safety,” *id.*, at 91 (quoting *Mugler, supra*, at 661), and could not encroach upon Congress’s “power to regulate commerce among the several States,” *Walling, supra*, at 458.

Second, the Court “held that the Commerce Clause prevented States from passing facially neutral laws that placed an impermissible burden on interstate commerce.” *Granholm*, 544 U. S., at 477. At the time of these decisions, the “original-package doctrine” defined the outer limits of Congress’s authority to regulate interstate commerce. *Ibid.* See *Brown v. Maryland*, 12 Wheat. 419 (1827). Under that doctrine, “goods shipped in interstate commerce were immune from state regulation while in their original package,” because at that point they had not yet been comingled with the mass of domestic property subject to state jurisdiction. *Granholm*, 544 U. S., at 477; see *id.*, at 477–478 (citing *Vance v. W. A. Vandercook Co.*, 170 U. S. 438, 444–445 (1898)). Applying this doctrine to state alcohol laws, the Court struck down an Iowa statute that required importers to obtain special certificates, *Bowman*, 125 U. S., at 499–500, as well as another Iowa law that, with limited exceptions, banned the importation of liquor, *Leisy*, 135 U. S., at 125.

These decisions left dry States “in a bind.” *Granholm, supra*, at 478. See Rogers, Interstate Commerce in Intoxicating Liquors Before the Webb-Kenyon Act, 4 Va. L. Rev. 174 (1916), 288 (1917) (noting “practical nullification of state laws” by original-package decisions). States could ban the production and sale of alcohol within their borders, but those bans “were ineffective because out-of-state liquor was immune from any state regulation as long as it remained in its

original package.” *Granholm, supra*, at 478. In effect, the Court’s interpretation of the dormant Commerce Clause conferred favored status on out-of-state alcohol, and that hamstrung the dry States’ efforts to enforce local prohibition laws. Representatives of those States and temperance advocates thus turned to Congress, which passed two laws to solve the problem.

The first of these was the Wilson Act, enacted in 1890. Ch. 728, 26 Stat. 313, 27 U. S. C. § 121. Named for Senator James F. Wilson of Iowa, whose home State’s laws had fallen in *Bowman* and *Leisy*, the Wilson Act aimed to obviate the problem presented by the “original-package” rule. Dormant Commerce Clause restrictions apply only when Congress has not exercised its Commerce Clause power to regulate the matter at issue, cf. *Bowman, supra*, at 485; *Leisy, supra*, at 123–124, and the strategy of those who favored the Wilson Act was for Congress to eliminate the problem that had surfaced in *Bowman* and *Leisy* by regulating the interstate shipment of alcohol, see Hamm 77–80; Rogers, *supra*, at 194–195. During the late 19th century and early 20th century, Congress enacted laws that entirely prohibited the transportation of certain goods and persons across state lines, and some but not all of these measures were held to be valid exercises of the commerce power. See *Lottery Case*, 188 U. S. 321 (1903) (upholding law prohibiting interstate shipment of lottery tickets); *Hoke v. United States*, 227 U. S. 308 (1913) (sustaining Mann Act prohibition on bringing women across state lines for prostitution); *Hammer v. Dagenhart*, 247 U. S. 251 (1918) (striking down provision banning interstate shipment of goods produced by child labor).

Unlike these laws, the Wilson Act did not attempt to ban all interstate shipment of alcohol. Its goal was more modest: to leave it up to each State to decide whether to admit alcohol. Its critical provision specified that all alcoholic beverages “transported into any State or Territory” were sub-

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ject “upon arrival” to the same restrictions imposed by the State “in the exercise of its police powers” over alcohol produced in the State.⁸ Thus, the Wilson Act mandated equal treatment for alcohol produced within and outside a State, not favorable treatment for local products. See *Granholm, supra*, at 479 (discussing *Scott*, 165 U. S., at 100–101). And the only state laws that it attempted to shield were those enacted by a State “in the exercise of its police powers,” which, as we have seen, applied only to bona fide health and safety measures. See, *e. g., id.*, at 91 (citing *Mugler*, 123 U. S., at 661).

Despite Congress’s clear aim, the Wilson Act failed to relieve the dry States’ predicament. In *Rhodes v. Iowa*, 170 U. S. 412 (1898), and *Vance v. W. A. Vandercook Co., supra*, the Court read the Act’s reference to the “arrival” of alcohol in a State to mean delivery to the consignee, not arrival within the State’s borders. *Granholm*, 544 U. S., at 480. The upshot was that residents of dry States could continue to order and receive imported alcohol. *Ibid.* See also Hamm 178. In 1913, Congress tried to patch this hole by passing the Webb-Kenyon Act, ch. 90, 37 Stat. 699, 27 U. S. C. § 122.

The aim of the Webb-Kenyon Act was to give each State a measure of regulatory authority over the importation of alcohol, but this created a drafting problem. There were those who thought that a federal law giving the States this authority would amount to an unconstitutional delegation of

⁸The provision read as follows:

“That all fermented, distilled, or other intoxicating liquors or liquids transported into any State or Territory or remaining therein for use, consumption, sale or storage therein, shall upon arrival in such State or Territory be subject to the operation and effect of the laws of such State or Territory enacted in the exercise of its police powers, to the same extent and in the same manner as though such liquids or liquors had been produced in such State or Territory, and shall not be exempt therefrom by reason of being introduced therein in original packages or otherwise.” Ch. 728, 26 Stat. 313, 27 U. S. C. § 121.

Congress's legislative power over interstate commerce.⁹ So the Act was framed not as a measure conferring power on the States but as one prohibiting conduct that violated state law. The Act provided that the shipment of alcohol into a State for use in any manner, "either in the original package or otherwise," "in violation of any law of such State," was prohibited.¹⁰ This formulation is significant for present purposes because it would provide a model for § 2 of the Twenty-first Amendment.

The Webb-Kenyon Act attempted to fix the hole in the Wilson Act and thus to "eliminate the regulatory advantage . . . afforded imported liquor," *Granholm, supra*, at 482; see also *Clark Distilling Co. v. Western Maryland R. Co.*, 242 U. S. 311, 324 (1917), but its wording, unlike the Wilson Act's, did not explicitly mandate equal treatment for imported and domestically produced alcohol. And it referred to "*any* law of such State," 37 Stat. 700 (emphasis added), whereas the Wilson Act referred to "the laws of such State or Territory enacted in the exercise of its police powers," 26 Stat. 313 (emphasis added). But despite these differences, *Granholm* held, over a strenuous dissent, 544 U. S., at 505–514 (opinion of THOMAS, J.), that the Webb-Kenyon Act did not purport to authorize States to enact protectionist measures.

There is good reason for this holding. As we have noted, the Court's pre-Webb-Kenyon Act decisions upholding state

⁹ That was the position expressed in an opinion issued by Attorney General Wickersham, 30 Op. Atty. Gen. 88 (1913), and President Taft's veto, which Congress overrode, was based on exactly this ground. 49 Cong. Rec. 4291 (1913) (Veto Message of the President).

¹⁰ The Act provided:

"That the shipment or transportation . . . of any spirituous, vinous, malted, fermented, or other intoxicating liquor of any kind, from one State . . . into any other State . . . which said spirituous, vinous, malted, fermented, or other intoxicating liquor is intended, by any person interested therein, to be received, possessed, sold, or in any manner used, either in the original package or otherwise, in violation of any law of such State . . . is hereby prohibited." Ch. 90, 37 Stat. 699–700.

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liquor laws against challenges based on constitutional provisions other than the Commerce Clause had cautioned that protectionist laws disguised as exercises of the police power would not escape scrutiny. See *supra*, at 521–522.¹¹ The Webb-Kenyon Act, by regulating commerce, could obviate dormant Commerce Clause problems, but it could not override the limitations imposed by these other constitutional provisions and the traditional understanding regarding the bounds of the States’ inherent police powers. Therefore the Wilson Act’s reference to laws “enacted in the exercise of [a State’s] police powers,” 26 Stat. 313, merely restated what this Court had already found to be a constitutional necessity, and consequently, there was no need to include such language in the Webb-Kenyon Act. Even without limiting language like that in the Wilson Act, the shelter given by the Webb-Kenyon Act applied only where “the States treated in-state and out-of-state liquor on the same terms.” *Granholm, supra*, at 481.¹²

Following passage of the Webb-Kenyon Act, temperance advocates began the final push for nationwide Prohibition, and with the ratification of the Eighteenth Amendment in 1919, their goal was achieved. The manufacture, sale, trans-

¹¹ This principle was also invoked in dormant Commerce Clause cases involving other products. See, e.g., *Minnesota v. Barber*, 136 U. S. 313, 319, 323 (1890); *Railroad Co. v. Husen*, 95 U. S. 465, 472 (1878).

¹² Lower court decisions issued between the enactment of the Webb-Kenyon Act and the ratification of the Eighteenth Amendment interpreted the Act this way. See *Evansville Brewing Assn. v. Excise Comm’n of Jefferson Cty., Ala.*, 225 F. 204 (ND Ala. 1915); *Southern Express Co. v. Whittle*, 194 Ala. 406, 69 So. 652 (1915); *Brennen v. Southern Express Co.*, 106 S. C. 102, 90 S. E. 402 (1916); *Charleston & W. C. R. Co. v. Gosnell*, 106 S. C. 84, 90 S. E. 264 (1916) (Hydrick, J., concurring); *Monumental Brewing Co. v. Whitlock*, 111 S. C. 198, 97 S. E. 56 (1918). See also *Pacific Fruit & Produce Co. v. Martin*, 16 F. Supp. 34, 39–40 (WD Wash. 1936); Friedman, *Constitutional Law: State Regulation of Importation of Intoxicating Liquor Under Twenty-first Amendment*, 21 Cornell L. Q. 504, 509 (1936).

portation, and importation of alcoholic beverages anywhere in the country were prohibited.

IV

A

By 1933, support for Prohibition had substantially diminished but not vanished completely. Thirty-eight state conventions eventually ratified the Twenty-first Amendment, but 10 States either rejected or took no action on the Amendment. Section 1 of the Twenty-first Amendment repealed the Eighteenth Amendment and thus ended nationwide Prohibition, but §2, the provision at issue here, gave each State the option of banning alcohol if its citizens so chose.

As we have previously noted, the text of §2 “closely follow[ed]” the operative language of the Webb-Kenyon Act, and this naturally suggests that §2 was meant to have a similar meaning. *Craig*, 429 U. S., at 205–206. The decision to follow that unusual formulation is especially revealing since the drafters of §2, unlike those who framed the Webb-Kenyon Act, had no need to worry that a more straightforward wording might trigger a constitutional challenge. Accordingly, we have inferred that §2 was meant to “constitutionaliz[e]” the basic understanding of the extent of the States’ power to regulate alcohol that prevailed before Prohibition. *Id.*, at 206. See also *Granholtz*, *supra*, at 484. And as recognized during that period, the Commerce Clause did not permit the States to impose protectionist measures clothed as police-power regulations. See *supra*, at 521–522. See also, *e. g.*, *Railroad Co. v. Husen*, 95 U. S. 465, 472 (1878) (a State “may not, under the cover of exerting its police powers, substantially prohibit or burden either foreign or interstate commerce”).

This understanding is supported by the debates on the Amendment in Congress¹³ and the state ratifying conven-

¹³ See, *e. g.*, 76 Cong. Rec. 4172 (1933) (statement of Sen. Borah) (§2 of Twenty-first Amendment would “incorporat[e] [Webb-Kenyon] permanently in the Constitution of the United States”); *id.*, at 4168 (statement

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tions. The records of the state conventions provide no evidence that §2 was understood to give States the power to enact protectionist laws,¹⁴ “a privilege [the States] had not enjoyed at any earlier time.” *Granholm*, 544 U. S., at 485.

B

Although our later cases have recognized that §2 cannot be given an interpretation that overrides all previously adopted constitutional provisions, the Court’s earliest cases interpreting §2 seemed to feint in that direction. In 1936, the Court found that §2’s text was “clear” and saw no need to consider whether history supported a more modest interpretation, *State Bd. of Equalization of Cal. v. Young’s Market Co.*, 299 U. S. 59, 63–64 (1936)—an approach even the dissent rejects, see *infra*, at 531, n. 16; *post*, at 544–545.¹⁵ The Court

of Sen. Fess) (“[T]he second section of the joint resolution . . . is designed to permit the Federal authority to assist the States that want to be dry to remain dry”); *id.*, at 4518 (statement of Rep. Robinson) (“Section 2 attempts to protect dry states”).

¹⁴See Nielson, No More “Cherry-Picking”: The Real History of the 21st Amendment’s §2, 28 Harv. J. L. & Pub. Pol’y 281, 286, n. 21 (2004). See generally E. Brown, Ratification of the Twenty-first Amendment to the Constitution of the United States; State Convention Records and Laws (1938).

¹⁵The dissent characterizes the Court as a “committee of nine” that has “[s]tray[ed] from the text” of the Twenty-first Amendment and “impose[d] [its] own free-trade rules” on the States. *Post*, at 550, 556–557 (opinion of GORSUCH, J.). This is empty rhetoric. The dissent itself strays from a blinkered reading of the Amendment. The dissent interprets §2 of the Amendment to mean more than it literally says, arguing that §2 covers the residency requirements at issue even though they are not tied in any way to what the Amendment actually addresses, namely, “the transportation or importation” of alcohol across state lines. See *post*, at 545, n. 1. And the dissent agrees that §2 cannot be read as broadly as one might think if its language were read in isolation and not as part of an integrated constitutional scheme. See *post*, at 545. The dissent asserts that §2 does not abrogate all previously adopted constitutional provisions, just the dormant Commerce Clause. But the dissent does not say whether it thinks §2 allows the States to adopt alcohol regulations that serve no conceivable purpose other than protectionism. Even the dissent below did not go that

read §2 as granting each State plenary “power to forbid all importations which do not comply with the conditions which it prescribes,” *Young’s Market*, *supra*, at 62; see also *Ziffrin, Inc. v. Reeves*, 308 U. S. 132, 138–139 (1939), including laws that discriminated against out-of-state products, see, *e.g.*, *Young’s Market*, *supra*, at 62; *Mahoney v. Joseph Triner Corp.*, 304 U. S. 401, 403 (1938); *Indianapolis Brewing Co. v. Liquor Control Comm’n*, 305 U. S. 391, 394 (1939). The Court went so far as to assume that the Fourteenth Amendment imposed no barrier to state legislation in the field of alcohol regulation. See *Young’s Market*, *supra*, at 64 (“A classification recognized by the Twenty-first Amendment cannot be deemed forbidden by the Fourteenth”).

With subsequent cases, however, the Court saw that §2 cannot be read that way, and it therefore scrutinized state alcohol laws for compliance with many constitutional provisions. See, *e.g.*, 44 *Liquormart, Inc. v. Rhode Island*, 517 U. S. 484 (1996) (Free Speech Clause); *Larkin v. Grendel’s Den, Inc.*, 459 U. S. 116 (1982) (Establishment Clause); *Craig v. Boren*, *supra* (Equal Protection Clause); *Wisconsin v. Constantineau*, 400 U. S. 433 (1971) (Due Process Clause); *Department of Revenue v. James B. Beam Distilling Co.*, 377 U. S. 341 (1964) (Import-Export Clause).

The Court also held that §2 does not entirely supersede Congress’s power to regulate commerce. Instead, after evaluating competing federal and state interests, the Court has ruled against state alcohol laws that conflicted with federal regulation of the export of alcohol, *Hostetter*, 377 U. S., at 333–334, federal antitrust law, *Midcal Aluminum*, 445 U. S., at 110–111, 113–114; 324 *Liquor Corp. v. Duffy*, 479 U. S. 335, 346–347, 350–351 (1987), and federal regulation of

far. See n. 18, *infra*. If §2 gives the States *carte blanche* to engage in protectionism, we suppose that Tennessee could restrict licenses to persons who can show that their lineal ancestors have lived in the State since 1796 when the State entered the Union. Does the dissent really think that this is what §2 was meant to permit?

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the airwaves, *Capital Cities Cable, Inc. v. Crisp*, 467 U. S. 691, 713, 716 (1984).

As for the dormant Commerce Clause, the developments leading to the adoption of the Twenty-first Amendment have convinced us that the aim of §2 was not to give States a free hand to restrict the importation of alcohol for purely protectionist purposes. See *Granholm, supra*, at 486–487; *Bacchus*, 468 U. S., at 276.

C

Although some Justices have argued that §2 shields all state alcohol regulation—including discriminatory laws—from any application of dormant Commerce Clause doctrine,¹⁶ the Court’s modern §2 precedents have repeatedly rejected that view. We have examined whether state alcohol laws that burden interstate commerce serve a State’s legitimate §2 interests. And protectionism, we have stressed, is not such an interest. *Ibid.*

Applying that principle, we have invalidated state alcohol laws aimed at giving a competitive advantage to in-state businesses. The Court’s decision in *Bacchus* “provides a particularly telling example.” *Granholm, supra*, at 487. There, the Court was confronted with a tax exemption that

¹⁶ See, e. g., *Granholm v. Heald*, 544 U. S. 460, 497–498 (2005) (THOMAS, J., dissenting); *Healy v. Beer Institute*, 491 U. S. 324, 349 (1989) (Rehnquist, C. J., dissenting); *324 Liquor Corp. v. Duffy*, 479 U. S. 335, 352–353 (1987) (O’Connor, J., dissenting); *Bacchus Imports, Ltd. v. Dias*, 468 U. S. 263, 281–282 (1984) (Stevens, J., dissenting).

The dissent rehashes this debate, see *post*, at 547–550, 555–556, asserting that the Webb-Kenyon Act, and thus §2, were “understood” to repudiate not only the original-package cases, but also the antidiscrimination rule articulated in cases including *Scott v. Donald*, 165 U. S. 58 (1897). But this Court’s modern §2 decisions—not simply the lower court decisions at which the dissent takes aim, see *post*, at 548, n. 3—establish that those enactments, though no doubt aimed at granting States additional “discretion to calibrate alcohol regulations to local preferences,” *post*, at 544, did not exempt States from “the nondiscrimination principle of the Commerce Clause.” *Granholm, supra*, at 487.

avored certain in-state alcohol producers. In defending the law, the State argued that even if the discriminatory exemption violated “ordinary Commerce Clause principles, it [was] saved by the Twenty-first Amendment.” *Bacchus*, 468 U. S., at 274. We rejected that argument and held instead that the relevant question was “whether the principles underlying the Twenty-first Amendment are sufficiently implicated by the [discriminatory] exemption . . . to outweigh the Commerce Clause principles that would otherwise be offended.” *Id.*, at 275. Ultimately, we held that §2 did not save the disputed tax because it clearly aimed “to promote a local industry” rather than “to promote temperance or to carry out any other purpose of the Twenty-first Amendment.” *Id.*, at 276.

The same went for the state law in *Healy v. Beer Institute*, 491 U. S. 324 (1989), which required out-of-state shippers of beer to affirm that their wholesale price for products sold in Connecticut was no higher than the prices they charged to wholesalers in bordering States. Connecticut argued that the “Twenty-first Amendment sanction[ed]” this law “regardless of its effect on interstate commerce,” *id.*, at 341, but we held that the law violated the Commerce Clause, noting that it “discriminate[d] against brewers and shippers of beer engaged in interstate commerce” without justification “by a valid factor unrelated to economic protectionism,” *id.*, at 340–341.¹⁷

Most recently, in *Granholm*, we struck down a set of discriminatory direct-shipment laws that favored in-state wineries over out-of-state competitors. After surveying the history of §2, we affirmed that “the Twenty-first Amendment does not immunize all laws from Commerce Clause

¹⁷Justice Scalia, for his part, thought the “statute’s invalidity [was] fully established by its facial discrimination against interstate commerce”—discrimination that in his view “eliminate[d] the immunity afforded by the Twenty-first Amendment.” *Healy, supra*, at 344 (opinion concurring in part and concurring in judgment) (citing *Bacchus, supra*, at 275–276).

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challenge.” 544 U. S., at 488. We therefore examined whether the challenged laws were reasonably necessary to protect the States’ asserted interests in policing underage drinking and facilitating tax collection. *Id.*, at 489–493. Concluding that the answer to that question was no, we invalidated the laws as inconsistent with the dormant Commerce Clause’s nondiscrimination principle. *Id.*, at 492–493.

To summarize, the Court has acknowledged that §2 grants States latitude with respect to the regulation of alcohol, but the Court has repeatedly declined to read §2 as allowing the States to violate the “nondiscrimination principle” that was a central feature of the regulatory regime that the provision was meant to constitutionalize. *Id.*, at 487.

D

The Association resists this reading. Although it concedes (as it must under *Granholm*) that §2 does not give the States the power to discriminate against out-of-state alcohol *products and producers*, the Association presses the argument, echoed by the dissent, that a different rule applies to state laws that regulate in-state alcohol distribution. There is no sound basis for this distinction.¹⁸

1

The Association’s argument encounters a problem at the outset. The argument concedes that §2 does not shield state laws that discriminate against interstate commerce with respect to the very activity that the provision explicitly addresses—the importation of alcohol. But at the same time, the Association claims that §2 protects something that

¹⁸ The Association’s argument is more extreme than that of the dissent below, which recognized that in-state distribution laws that “serve no purpose besides ‘economic protectionism’” remain subject to dormant Commerce Clause scrutiny. *Byrd v. Tennessee Wine and Spirits Retailers Assn.*, 883 F. 3d 608, 633 (CA6 2018) (Sutton, J., concurring in part and dissenting in part) (quoting *Bacchus*, *supra*, at 276).

§2's text, if read literally, does not cover—laws restricting the licensing of domestic retail alcohol stores. That reading is implausible. Surely if §2 granted States the power to discriminate in the field of alcohol regulation, that power would be at its apex when it comes to regulating the activity to which the provision expressly refers.

The Association and the dissent point out that *Granholm* repeatedly spoke of discrimination against out-of-state products and producers, but there is an obvious explanation: The state laws at issue in *Granholm* discriminated against out-of-state producers. See 883 F. 3d, at 621. And *Granholm* never said that its reading of history or its Commerce Clause analysis was limited to discrimination against products or producers. On the contrary, the Court stated that the Clause prohibits state discrimination against all “‘out-of-state economic *interests*,’” *Granholm*, 544 U.S., at 472 (emphasis added), and noted that the direct-shipment laws in question “contradict[ed]” dormant Commerce Clause principles because they “deprive[d] *citizens* of their right to have access to the markets of other States on equal terms,” *id.*, at 473 (emphasis added). *Granholm* also described its analysis as consistent with the rule set forth in *Bacchus, Brown-Forman Distillers Corp. v. New York State Liquor Authority*, 476 U.S. 573 (1986), and *Healy* that “[w]hen a state statute directly regulates or discriminates against interstate commerce, or when its effect is to favor in-state economic *interests* over out-of-state *interests*, we have generally struck down the statute without further inquiry.’” *Granholm, supra*, at 487 (quoting *Brown-Forman, supra*, at 579; emphasis added).

The Association counters that even if the *Granholm* Court did not explicitly limit its holding to products and producers, the Court implicitly did so when it rejected the argument that its analysis would call into question the constitutionality of state laws setting up three-tiered alcohol distribution sys-

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tems. See *Granholm*, *supra*, at 488–489. This argument, which the dissent also advances, see *post*, at 554–555, reads far too much into *Granholm*’s discussion of the three-tiered model. Although *Granholm* spoke approvingly of that basic model, it did not suggest that § 2 sanctions every discriminatory feature that a State may incorporate into its three-tiered scheme. At issue in the present case is not the basic three-tiered model of separating producers, wholesalers, and retailers, but the durational-residency requirement that Tennessee has chosen to impose on new applicants for liquor store licenses. Such a requirement is not an essential feature of a three-tiered scheme. Many such schemes do not impose durational-residency requirements—or indeed any residency requirements—on individual or corporate liquor store owners. See, *e.g.*, Brief for State of Illinois et al. as *Amici Curiae* 24–25, 27 (identifying States that have either “dispos[ed] with the durational aspect of the [residency] requirement” or “d[o] not regulate the residency of the applicant corporation or partnership”). Other three-tiered schemes differ in other ways. See, *e.g.*, *id.*, at 24–28 (noting variations); FTC, Possible Anticompetitive Barriers to E-Commerce: Wine 7–9 (July 2003), https://www.ftc.gov/sites/default/files/documents/reports/possible-anticompetitive-barriers-e-commerce-wine/winereport2_0.pdf (as last visited June 24, 2019) (same). Because we agree with the dissent that, under § 2, States “remai[n] free to pursue” their legitimate interests in regulating the health and safety risks posed by the alcohol trade, *post*, at 554, each variation must be judged based on its own features.

2

In support of the argument that the Tennessee scheme is constitutional, the Association and its *amici* claim that discriminatory distribution laws, including in-state presence and residency requirements, long predate Prohibition and

were adopted by many States following ratification of the Twenty-first Amendment.¹⁹ Indeed, the Association notes that the 2-year durational-residency requirement now before us dates back to 1939 and is consistent with durational-residency regimes adopted by several other States around the same time.²⁰ According to the Association, that history confirms that § 2 was intended to broadly exempt all in-state distribution laws from dormant Commerce Clause scrutiny. The dissent relies heavily on this same argument.

This argument fails for several reasons. Insofar as it relies on state laws enacted shortly after the ratification of the Twenty-first Amendment and this Court's early decisions interpreting it, the Association and the dissent's argument does not take into account the overly expansive interpretation of § 2 that took hold for a time in the immediate aftermath of its adoption. See *supra*, at 530–531. Thus, some state laws adopted soon after the ratification of the Twenty-first Amendment may have been based on an understanding of § 2 that can no longer be defended. It is telling that an argument similar to the one now made by the Association would have dictated a contrary result in *Granholm*, since state laws disfavoring imported products were passed during this same period. See, e.g., *Young's Market Co.*, 299 U.S., at 62 (discriminatory license fee on imported beer); *Mahoney*, 304 U.S., at 403 (prohibition on import of certain liquors); *Indianapolis Brewing Co.*, 305 U.S., at 394 (same).

¹⁹ See *Granholm*, 544 U.S., at 518, and n. 6 (THOMAS, J., dissenting) (licensing schemes adopted by three-tier States following ratification of Twenty-first Amendment discriminated “by requiring in-state residency or physical presence as a condition of obtaining licenses”) (collecting statutes); Brief for Petitioner 33–34 (collecting residency-requirement statutes). See also Brief for State of Illinois et al. as *Amici Curiae* 7–8 (referencing 19th-century state statutes that required “retailers to reside in-state or to maintain an in-state presence”).

²⁰ See 1939 Tenn. Pub. Acts, ch. 49, §§ 5–8; Brief for Petitioner 34 (collecting durational-residency-requirement statutes); Brief for State of Illinois et al. as *Amici Curiae* 24 (same).

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But our later cases have rejected this interpretation of § 2. See *Granholm*, 544 U. S., at 487.

Insofar as the Association's argument is based on state laws adopted prior to Prohibition, it infers too much from the existence of laws that were never tested in this Court. Had they been tested here, there is no reason to conclude that they would have been sustained. During that time, the Court repeatedly invalidated, on dormant Commerce Clause grounds, a variety of state and local efforts to license those engaged in interstate business,²¹ and as noted, pre-Prohibition decisions of this Court and the lower courts held that state alcohol laws that discriminated against interstate commerce were unconstitutional, see *supra*, at 523.

Contrary to the Association's contention, not all of these decisions involved discrimination against alcohol produced out of State or alcohol importers. The tax in *Walling*, for

²¹ *Real Silk Hosiery Mills v. Portland*, 268 U. S. 325, 335–336 (1925) (license tax on solicitors of orders to be filled by an out-of-state manufacturer); *Shafer v. Farmers Grain Co. of Embden*, 268 U. S. 189, 197–201 (1925) (license requirement for the purchase of grain shipped immediately out of the State); *Stewart v. Michigan*, 232 U. S. 665, 669–670 (1914) (state law requiring a license for catalog sales); *Crenshaw v. Arkansas*, 227 U. S. 389, 399–401 (1913) (state law requiring a foreign corporation actively soliciting sales in State to obtain a license); *Dozier v. Alabama*, 218 U. S. 124, 127–128 (1910) (licensing requirement on the solicitors of photography enlargement services and frames manufactured out of State); *International Textbook Co. v. Pigg*, 217 U. S. 91, 107–111 (1910) (state law requiring an out-of-state educational publishing company to pay a license fee for exchanging materials with customers); *Rearick v. Pennsylvania*, 203 U. S. 507, 510–511 (1906) (ordinance requiring license to solicit orders for out-of-state goods); *Norfolk & Western R. Co. v. Sims*, 191 U. S. 441, 449–451 (1903) (state licensing requirement on express company acting as agent for importer of a sewing machine); *Brennan v. Titusville*, 153 U. S. 289, 306–308 (1894) (licensing tax on persons engaged in trade on behalf of firms doing business outside the State); *Corson v. Maryland*, 120 U. S. 502, 505–506 (1887) (state licensing requirement as applied to agent of out-of-state firm soliciting sales); *Welton v. Missouri*, 91 U. S. 275, 278, 282–283 (1876) (state law requiring payment of license tax by sellers of out-of-state goods).

example, applied to those engaged in the business of selling imported alcohol within the State. 116 U. S. 446. And in concluding that the law violated the Commerce Clause, the Court affirmed that, without the dormant Commerce Clause, there would “be no security against conflicting regulations of different states, each discriminating in favor of its own products *and citizens*, and against the products *and citizens* of other states.” *Id.*, at 456–457 (emphasis added). So too, the dispensary law in *Scott* was challenged on the ground that it discriminated “against products of other States *and against citizens* of other States.” 165 U. S., at 62 (emphasis added); see also *id.*, at 94.

Nor have States historically enjoyed absolute authority to police alcohol within their borders. As discussed earlier, far from granting the States plenary authority to adopt domestic regulations, the Court’s police-power precedents required an examination of the actual purpose and effect of a challenged law. See, *e. g.*, *Mugler*, 123 U. S., at 661 (“It does not at all follow that every statute enacted ostensibly for the promotion” of “the public health, the public morals, or the public safety” is “to be accepted as a legitimate exertion of the police powers of the State”); see also *Husen*, 95 U. S., at 472; *Welton v. Missouri*, 91 U. S. 275, 278 (1876). Cf. H. Black, *Intoxicating Liquors* § 30, p. 40 (1892) (stating that certain 19th-century licensing and residency requirements were valid because their “purpose and effect” was to prevent “the unlawful selling of liquors, *and not to discriminate against citizens of other states*” (emphasis added)).

For these reasons, we reject the Association’s overly broad understanding of § 2. That provision allows each State leeway to enact the measures that its citizens believe are appropriate to address the public health and safety effects of alcohol use and to serve other legitimate interests, but it does not license the States to adopt protectionist measures with no demonstrable connection to those interests.